

QFIN pitch deck

PITCH — QFIN — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: Do not buy. Stay flat into the ~Aug 13 earnings report. The original buy case is rejected, but the stock is not proven overpriced either — four specific conditions, listed below, would reopen it.

What we believe

Qfin Holdings is a Chinese consumer-lending platform trading at \$13.24, down 62% from its 52-week high (evidence pack, Aug 7 close). Both of our internal reviews — the bear-case team and the cross-examining team — independently concluded the same thing: **the pitch that brought this name to court is dead, but the case that the stock is now fairly priced was asserted, not demonstrated.**

The two legs of the original buy case both failed under checking. First, the claim that the company trades at roughly its cash value was wrong: the quoted cash figure of RMB 10.8 billion included RMB 3.94 billion of restricted cash that is pledged against the company's loan-guarantee obligations and is not available to shareholders. Usable cash plus short-term investments is RMB 6.55 billion — about 59% of the market value, not 97% ([Q1 2026 results](#)). Second, the argument that “the fee rate is holding up, so the market's fear is overdone” doesn't work: that 13% fee rate was earned under the old rules. Chinese regulators have ordered that new loans stop above a 24% all-in borrower rate immediately and have stated a goal of roughly 12% all-in by end-2027 ([Caixin](#)). Simple arithmetic — 12% charged to the borrower, minus ~6–7% funding cost, minus ~4% credit losses — leaves no room for a 13% platform fee. Today's healthy fee rate is evidence from a regime that is ending.

What survives is this: a shrinking lender trading at roughly 0.45× its book value of RMB 24.4 billion, still earning roughly RMB 3.5 billion a year under the old rules for about six more quarters while those rules phase out. Nobody — not the original pitch, not either review team — has actually valued that wind-down stream. Until someone does, “fairly priced” and “cheap” are both guesses.

What the market believes

The market is pricing a business in managed decline: near-terminal earnings power once the 12% cap arrives, a loan book already shrinking (new loans down 26.8%), and no support under the stock — the \$450 million 2025 buyback was fully spent at an average price of \$28.20, no 2026 program has been announced, and the company chose to spend US\$502 million retiring its convertible bonds rather than buying stock at \$13. Bank of America downgraded in May explicitly citing the regulatory squeeze and the absence of buybacks, with a price target of \$13.80 — essentially the current price. That downgrade is three months old; this is not a fresh panic the market hasn't absorbed. The stock is 17% *above* its 52-week low, so it is not sitting at a fresh point of maximum stress either.

Why we might have edge

- **The wind-down math is genuinely uncomputed.** Roughly six more quarters of old-regime earnings accrete onto a book worth more than twice the market cap. If run-off value plus a modest terminal business exceeds \$1.61 billion, the market is overshooting. This is checkable work no one has done.
- **The bears double-counted one cash outflow.** The convertible-bond repurchase (US\$577 million of face value retired at a 13% discount, ~US\$113 million left) is the same money as the “vanished cash floor” and the “no buyback capacity.” That spend is finished and non-recurring: the 2030 refinancing cliff is gone, and cash rebuilds at roughly RMB 2 billion of operating cash flow per quarter.
- **The scariest data point is disputed and resolves imminently.** Caixin reported the loan balance falling below RMB 90 billion by mid-March; the company reported RMB 114.4 billion at March 31 — both using the same metric. One of them is wrong, and the Q2 report settles it. If the company’s number holds, the most aggressive bear scenario is refuted.
- **“Net cash negative” was overturned.** The bear team netted out RMB 11.1 billion of trust borrowings, but those fund matching loan assets on the balance sheet and are already reflected in book value.

Why it might be priced in

- The cash-floor and fee-rate arguments — the only two legs of the original pitch — are both dead, and everything above is a *residual* case, not the pitched one.
- The 12%-by-2027 regime is not a speculative draft: regulators are already enforcing the 24% cap and compressing balances now.
- The apparent credit improvement (early delinquencies 6.1% → 5.7%) is a side effect of lending much less, and the 90-day-plus delinquency rate rose from 2.71% to 3.50% on a shrinking loan base — worse than it looks.
- There is no buyer of last resort under the stock, and the semi-annual dividend decision at this report is genuinely binary.
- Only RMB 55.66 billion of the RMB 114 billion book is the newer “capital-light” model; the majority still carries RMB 3.17 billion of guarantee obligations into the transition.
- Three months after the downgrade, price sits at the Street’s target. Nothing here is undiscovered.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Cash ≈ 97% of market cap” (original pitch)	Both teams independently re-pulled the Q1 2026 balance sheet	Usable cash + short-term investments = RMB 6.55B (~59% of mcap); the 10.8B figure counted RMB 3.94B restricted cash pledged against guarantees	Refuted — pitch error

Claim	How checked	Found	Confirmed?
Bear team: “the 10.8B was a stale December figure”	Cross-team re-derivation from the same filing	Wrong mechanism: it was the correct March 31 total, just inflated by restricted cash. Right conclusion, wrong reason	Our own bear bench erred; corrected
Bear team: “net cash is negative”	Cross-examination of what was netted	Trust borrowings fund matching loan assets already reflected in equity; netting them against corporate cash was invalid	Our own bear bench erred; overturned
Bear team’s cash-floor + no-buyback pairing	Cross-examination	The convert repurchase was counted twice (as vanished floor and as absent buyback capacity) — one outflow, two findings	Our own bear bench erred; caught
12% all-in cap by end-2027, being enforced now	Caixin primary + corroborating coverage; arithmetic on fee vs. cap	Real, already biting; a 13% platform fee cannot fit under a 12% borrower cap	Confirmed
Delinquency improvement is a real credit turn	Company results series	Mix effect of shrinking originations; 90d+ rate worsened 2.71%→3.50%	Confirmed (bearish reading)
Loan balance below RMB 90B (Caixin) vs. RMB 114.4B (company)	Matched Caixin’s starting figure to the company’s Dec 31 number — same metric, live conflict	Unresolved; Q2 report decides	Unresolved
No 2026 buyback exists	Company IR releases + search	2025 programs exhausted; none found for 2026 — but the June 30 filing that may contain an authorization could not be retrieved (server error) on either bench	Partially confirmed
RMB 11.1B trust-borrowing figure	Attempted verification from filings	Could not be confirmed from the press release	Plausible, unverified
“This price is fair” (bear conclusion)	—	Neither team built the run-off valuation; conclusion asserted, not shown	Both benches’ shared gap
Live quote and current holdings	Brokerage access was permission-denied on both benches	All math anchored to the Aug 7 close of \$13.24; “no position” per the evidence pack	Coverage gap
Aug 13 earnings date	Vendor calendars only; no company announcement found	Treat as an Aug 13–20 window	Unconfirmed

PROPOSED ENTRY BANDS

The courts say no entry now, at any price, ahead of the report. Sizing today: 0% of book. There are no exit or trim levels because there is no position. What follows are the **reopen conditions**, taken from the review teams’ own math:

Reopen for a full re-hearing (a possible buy) only if ALL FOUR print at the Q2 report: 1. Semi-annual dividend held or raised — at least **\$0.78 per share** for the first half. 2. Quarter-end loan balance of at least **~RMB 105 billion** (the bear team’s stricter refutation line is RMB 110 billion; either way, a print toward RMB 90–100 billion confirms the Caixin trajectory and kills the case for another

~15–20% of revenue). 3. **Any 2026 share-repurchase authorization** — including one hiding in the unread June 30 filing. 4. **Q3 guidance at or above normal seasonal levels** — this is the first forecast issued under the new disclosure regime and carries more information than the Q2 profit itself, which was already guided to RMB 830–910 million.

Price-based reopen: a close below **\$11.31** (the 52-week low) converts this from “17% off the low” to a fresh dislocation and triggers a re-hearing — a review, not an automatic buy. The bear team explicitly rejected pre-arming any buy trigger that lacks both a balance-trajectory condition and a concrete capital-return act, and we adopt that.

Regulatory reopen: final national rules materially softer than the 12%-by-2027 draft.

Sizing on reopen was not set by either team and must be set at the re-hearing — proposing one here would exceed what the court established.

Catalyst dates: Q2 2026 earnings, ~**Aug 13, 2026** (vendor-sourced, unconfirmed — window Aug 13–20), carrying the dividend decision, the balance print, and the Q3 guide. Longer-dated: the **end-2027** deadline for the 12% rate cap.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 11.31 (deck-provisional: break of the 52-week low converts ‘17% off the low’ into a fresh dislocation - triggers re-hearing, no)
- filing watch: 6-K until 2027-02-04 (deck-provisional: Q2 results carry all four reopen conditions (dividend $\geq$ \$0.78, balance $\geq$ ~RMB105B, 2026 buyback author)
- dated pack QFIN|2026-08-13: QFIN: Q2’26 earnings (vendor-dated, window Aug 13-20): dividend decision, quarter-end loan balance, first post-regime Q3 guide (date confirm
- dated pack QFIN|2027-12-31: QFIN: regulators’ stated deadline for ~12% all-in borrower rate cap (date confirmed=False)

What remains unverified

- Contents of the 2026-06-30 filing (retrieval failed on both benches) — could contain a buyback authorization or routine shareholder-meeting results.
- The RMB 11.1 billion trust-borrowing figure (plausible, not confirmed from primary).
- The Caixin claim that the loan balance is already below RMB 90 billion — in direct conflict with the company’s reported RMB 114.4 billion; resolves at the Q2 print.
- The wind-down valuation itself — the single piece of work that would tell us whether 0.45× book is cheap or fair. Neither side has done it; it should be done before the re-hearing, not after.
- The exact earnings date (vendor-sourced only).

- Live executable quote and account position state — brokerage access was denied this session; everything is anchored to the Aug 7 close and the pack’s “no position.”

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